RESERVE BANK OF INDIA

Department of Regulation

Title: Master Direction on Know Your Customer and Anti-Money Laundering Measures, 2026

Reference number: RBI/2026-27/14 DOR.AML.REC/01/2026

Date: January 15, 2026

1. Applicability and Scope

1.1 These Directions shall apply to all Regulated Entities including scheduled commercial banks, and every branch shall designate a Principal Officer who will be responsible for compliance with customer identification and record-keeping requirements.

1.2 Regulated Entities shall complete Customer Due Diligence for all new account relationships before account activation, and no account shall be operated until verification of identity and address is recorded in the central KYC registry.

1.3 Regulated Entities shall undertake periodic updation of KYC at least once every two years for high-risk customers, once every eight years for medium-risk customers, and once every ten years for low-risk customers from the date of last KYC update.

2. Monitoring and Reporting

2.1 Regulated Entities shall refresh KYC for high-risk accounts within 30 days of a risk-category change, and the Compliance Department shall file a monthly exception report on overdue refresh cases to the Risk Management Committee.

2.2 Regulated Entities shall monitor transactions on an ongoing basis for complexity and unusual patterns, and shall retain account records and transaction data for a minimum period of five years from the date of transaction.

2.3 Regulated Entities shall file Cash Transaction Reports for all transactions above rupees ten lakh and Suspicious Transaction Reports within 7 days of reaching a conclusion that a transaction is suspicious, and the Principal Officer shall approve each filing.

2.4 Regulated Entities shall screen all customers and beneficial owners against the UNSC sanctions lists and domestic watchlists before onboarding and on a daily basis thereafter, and shall freeze matching accounts without prior notice.

3. Governance and Review

3.1 The Board of Directors shall review KYC and AML compliance at least once every six months, and the Chief Risk Officer shall present trend analysis of alerts, STR filings, and overdue refresh cases at each review.

3.2 Regulated Entities shall conduct an independent audit of KYC and AML controls at least once every twelve months, and audit findings shall be closed within 90 days with evidence retained for supervisory inspection.